

AS ECONOMICS

7135/2

Paper 2 – The National Economy in a Global Context

Practice Paper 1 (Moderate)

Mark scheme

Practice mark scheme (in the style of June 2024)

This mark scheme follows the same structure and principles as the AQA June 2024 mark scheme for AS Economics Paper 2 (7135/2). It is intended for use with the matching practice question paper.

Level of response marking instructions

For extended-answer (10 and 25 mark) questions, examiners should use the level-of-response grids shown for each question. Start at the lowest level and use it as a ladder until the answer matches the descriptor for a level. Apply a best-fit approach where an answer covers different aspects of different levels.

Section A – Key list

The following list indicates the correct answers used in marking students' responses.

Q	Answer	Q	Answer
1	C (An increase in government spending on infrastructure)	11	B (An increase in government spending on training schemes)
2	B (the value of output produced in an economy adjusted for changes in the price level.)	12	C (£850 billion)
3	B (A fall in the price of imported raw materials)	13	C (A rise in labour productivity in the UK)
4	D (4)	14	B (workers being temporarily between jobs.)
5	C (Inflation caused by aggregate demand exceeding the productive capacity of the economy)	15	B (a rise in national income leads to a more than proportional increase in investment.)
6	B (a negative output gap.)	16	B (An increase in the working-age population)
7	C (A factory worker made redundant during a recession)	17	A (2%)
8	C (The rate of inflation slowed between Year 3 and Year 4.)	18	C (Savings)
9	D (A reduction in imported cost-push inflation)	19	B (a leftward shift of the SRAS curve.)
10	C (encourage saving and reduce consumption.)	20	C (maintain price stability defined as 2% CPI inflation.)

Distribution of answers: A: 4 | B: 5 | C: 7 | D: 4

Levels of response grid – 25 mark questions

Level / Marks	Descriptor
Level 5 21–25 marks	Sound, focused analysis and well-supported evaluation that: is well organised; shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors; includes good application of relevant economic principles to the given context; well-focused analysis with clear, logical chains of reasoning; supported evaluation throughout and in a final conclusion.
Level 4 16–20 marks	Sound, focused analysis and some supported evaluation; well organised; sound knowledge and understanding; some good application and use of data; some well-focused analysis with clear logical chains of reasoning; some reasonable, supported evaluation.
Level 3 11–15 marks	Some reasonable analysis but generally unsupported evaluation; focuses on relevant issues; satisfactory knowledge and understanding; reasonable application; reasonable analysis but may not be adequately developed; fairly superficial evaluation.
Level 2 6–10 marks	Fairly weak response with some understanding; some limited knowledge; limited application; limited analysis that may lack focus; attempted evaluation that is weak and unsupported.
Level 1 1–5 marks	Very weak response; little relevant knowledge and understanding; very weak application; attempted analysis is weak and unsupported.

Levels of response grid – 10 mark questions

Level / Marks	Descriptor
Level 3 8–10 marks	Well organised; develops one or more key issues; sound knowledge and understanding; good application; well-focused analysis with clear logical chain; may include a relevant diagram.
Level 2 4–7 marks	Issues relevant to the question; reasonable knowledge and understanding (with some weaknesses); reasonable application; reasonable analysis but may not be adequately developed; may include a relevant diagram.
Level 1 1–3 marks	Very brief and/or lacks coherence; limited knowledge with likely errors; very limited application; weak analysis lacking focus.

Section B – Context 1

UK CONSUMER CONFIDENCE AND ECONOMIC RECOVERY

Question 2 1 Define 'regressive taxes' (Extract C, line 11).

[3 marks]

Level	Response	Max
1	A full and precise definition is given.	3 marks
2	The substantive content of the definition is correct, but there may be some imprecision.	2 marks
3	Some fragmented points are made.	1 mark

Examples worth 3 marks:

- A tax for which the proportion of income paid in tax falls as income rises (or vice versa).
- A tax that takes a larger percentage of income from low-income earners than from high-income earners.

Examples worth 2 marks:

- A tax where the same amount of tax is paid regardless of income.
- A tax where low-income earners pay more tax in total.

Examples worth 1 mark:

- A tax that adversely affects low-income earners.

Question 2 2 A household with a variable-rate mortgage of £180 000 saw its annual mortgage interest rate rise from 1.8% to 5.4%.

Calculate the increase in the amount of interest paid per month to the nearest pound (£).

[4 marks]

Calculation:

Increase in interest rate: $5.4\% - 1.8\% = 3.6$ percentage points.

$£180\,000 \times 0.036 = £6\,480$ per annum / 12 months = £540 per month.

Alternative method:

$£180\,000 \times 0.054 = £9\,720$ / 12 = £810 per month

$£180\,000 \times 0.018 = £3\,240$ / 12 = £270 per month

$£810 - £270 = £540$ per month.

Response	Marks
£540 (correct answer)	4 marks
Correct value not to nearest £; correct value rounded wrong way; correct value with missing units (e.g. 540)	3 marks
Correct method using incorrect interest rate; or correct annual interest payment £6 480	2 marks

Correct value 6480 without units; correct annual interest using wrong rate with units; stating correct method	1 mark
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Question 2 3 Use Extract A to identify two significant points of comparison between consumer confidence and retail sales volume growth over the period shown.

[4 marks]

Award up to **2 marks for each** significant point of comparison made.

Response	Marks
Identifies a significant point of comparison; accurate use of data; unit of measurement given accurately.	2 marks
Identifies a significant point of comparison but only one piece of data is given when two are needed; or no/wrong unit; or wrong date. OR identifies a significant feature of one data series with accurate data but no comparison is made.	1 mark

If more than two significant points of comparison are identified, reward the best two.

Significant points include:

- Consumer confidence has consistently been negative throughout the period, ranging from -16 in March 2021 to -49 in September 2022, whereas retail sales volume growth has been positive (e.g. 7.2% in March 2021) and negative (-5.8% in September 2022).
- Consumer confidence fell to its lowest point (-49) in September 2022, the same month that retail sales volume growth reached its lowest point (-5.8%), showing both deteriorated together.
- By December 2023, consumer confidence had recovered to -22 (from -49 in September 2022, an improvement of 27 points), whereas retail sales volume growth recovered less strongly, only reaching -1.5% (from -5.8%, an improvement of 4.3 percentage points).
- Both indicators reached their peak in March 2021 (consumer confidence at -16; retail sales growth at 7.2%).

Question 2 4 Extract B (lines 5-6) refers to higher borrowing costs affecting firms' investment decisions.

Draw an AD/AS diagram to show the likely macroeconomic effect of a fall in investment.

[4 marks]

Correct diagram: AD/AS diagram showing a LEFTWARD shift of the AD curve (AD $\blacksquare$ to AD $\blacksquare$), resulting in a fall in real output (Y $\blacksquare$ to Y $\blacksquare$) and a fall in the price level (P $\blacksquare$ to P $\blacksquare$). All axes labelled (Price Level on vertical axis; Real National Output on horizontal axis); all curves and equilibrium coordinates labelled.

Response	Marks
Accurately drawn AD/AS diagram showing the correct shift, with original equilibrium (P $\blacksquare$ Y $\blacksquare$) and new equilibrium (P $\blacksquare$ Y $\blacksquare$); both axes, all curves and coordinates labelled.	4 marks
Accurately drawn diagram with the correct shift but one label/coordinate missing.	3 marks
Accurately drawn diagram with the correct shift but two or more labels/coordinates missing.	2 marks

Accurately drawn AD/AS diagram showing initial equilibrium with both axes, both original curves and both original coordinates (P■Y■) labelled, but no shift.
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1 mark

Notes: Horizontal axis labels accepted: 'Real GDP', 'Real output', 'Output', 'Y', 'RNO', 'NI', 'National output'. Do not reward 'Quantity' or 'Q'. Vertical axis labels accepted: 'Price Level', 'PL', 'Inflation', '£'. Do not reward 'Price' or 'P'.

Question 2 5 Extract B (lines 3-4) states: 'Real household disposable income... grew modestly by 0.8% in 2023.'

Explain how rising real household disposable income may affect macroeconomic performance.

[10 marks]

Apply the 10-mark levels grid above.

Relevant issues include:

- Definition of real household disposable income (income after tax and transfers, adjusted for inflation)
- Effect on consumption: rising real disposable income raises households' purchasing power and consumption (C)
- Multiplier effect: rising C raises AD, leading to a multiplied increase in national income
- Effect on AD: AD shifts rightward, raising real GDP and employment
- Possible impact on demand-pull inflation if economy is near full capacity
- Effect on government finances: higher consumption raises VAT and other tax revenues, reduces benefit spending
- Possible negative effect on current account if MPM rises (more imports)
- Confidence effects and accelerator on investment
- A relevant AD/AS diagram showing rightward shift of AD would support analysis

Question 2 6 Extract C (lines 1-3) refers to expansionary fiscal policy as a means of reviving the UK economy.

Use the extracts and your knowledge of economics to evaluate the view that expansionary fiscal policy is the most effective way to stimulate economic growth in the UK.

[25 marks]

Apply the 25-mark levels of response grid above. The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response.

Areas for discussion include:

- Meaning of expansionary fiscal policy (tax cuts, increased government spending) and economic growth
- Analysis of how tax cuts raise household disposable income, raising C and AD
- Analysis of how government spending directly adds to AD (G component)
- Multiplier and accelerator effects
- AD/AS diagram showing rightward shift of AD raising output (and possibly price level)
- Evaluation: effectiveness depends on the position of the economy on the AS curve (close to full capacity vs spare capacity)
- Evaluation: time lags - implementation lags, response lags
- Evaluation: impact on budget deficit and national debt (Extract C: 4.4% of GDP)

- Evaluation: crowding out effect on private investment if borrowing raises interest rates
- Alternative policies: supply-side measures (Extract C), monetary policy
- Evaluation of the appropriateness depending on the cause of the slowdown (demand vs supply side)
- Consideration of regressive impact of indirect tax cuts vs progressive impact of welfare spending
- Overall judgement based on UK context and current macroeconomic position

Section B – Context 2

THE UK PRODUCTIVITY PUZZLE

Question 2 7 Define 'labour productivity' (Extract E, line 1).

[3 marks]

Level	Response	Max
1	A full and precise definition is given.	3 marks
2	The substantive content of the definition is correct, but there may be some imprecision.	2 marks
3	Some fragmented points are made.	1 mark

Examples worth 3 marks:

- Output per unit of labour input - the amount of goods or services produced per worker (or per hour worked) in an economy over a period of time.
- The level of output produced by labour, divided by either the number of workers or the number of hours worked.

Examples worth 2 marks:

- The output produced per worker.
- How much each worker produces.

Examples worth 1 mark:

- How hard workers work.
- GDP divided by labour.

Question 2 8 Use Extract D to calculate, as a percentage, the gap between the productivity index of the most productive region and the least productive region, measured relative to the least productive region.

Give your answer to the nearest whole percent (%).

[4 marks]

Calculation:

Most productive region: London at 131.5.

Least productive region: Northern Ireland at 82.6.

Gap as % of least productive region = $(131.5 - 82.6) / 82.6 \times 100$
 $= 48.9 / 82.6 \times 100 = 59.20\% = 59\%$ to the nearest whole percent.

Response	Marks
59% (correct answer)	4 marks
59.2% (not nearest whole); 60% (rounded wrong way); 59 (missing units)	3 marks
Correct method using wrong region (e.g. using South East 108.2 instead of London); or correct value for gap 48.9 with units	2 marks

48.9 without units; correct method stated; implicit understanding shown

1 mark

Question 2 9 Use Extract D to identify two significant points of comparison between regional productivity indices and unemployment rates in selected UK regions.

[4 marks]

Award up to **2 marks for each** significant point of comparison made.

Response	Marks
Identifies a significant point of comparison; accurate use of data; unit of measurement given accurately.	2 marks
Identifies a significant point of comparison but only one piece of data is given when two are needed; or no/wrong unit; or wrong date. OR identifies a significant feature of one data series with accurate data but no comparison is made.	1 mark

If more than two significant points of comparison are identified, reward the best two.

Significant points include:

- London has the highest productivity index (131.5) but a relatively high unemployment rate (4.8%), whereas Northern Ireland has the lowest productivity index (82.6) but the lowest unemployment rate (2.9%).
- The North East has both a low productivity index (86.3) and the highest unemployment rate (5.2%) of the regions shown.
- Only London (131.5) and the South East (108.2) have productivity indices above the UK average of 100; both have unemployment rates close to or above the UK average of 4.0%.
- The range of regional productivity indices is wide ($131.5 - 82.6 = 48.9$ points), whereas the range of unemployment rates is narrower ($5.2\% - 2.9\% = 2.3$ percentage points).

Question 3 0 Extract F (lines 1-3) refers to increased capital allowances to encourage business investment.

Draw an AD/AS diagram to show the most likely long-run effect of a sustained increase in business investment on the macroeconomy.

[4 marks]

Correct diagram: AD/AS diagram showing a RIGHTWARD shift of the LRAS curve (and ideally also a rightward shift in SRAS), with output rising in the long run ($Y_{\square}$ to $Y_{\square}$) and the price level falling or staying lower than it otherwise would have. All axes (Price Level on vertical axis; Real National Output on horizontal axis), curves and equilibrium points labelled.

Response	Marks
Accurately drawn AD/AS diagram showing the correct shift, with original equilibrium ($P_{\square}Y_{\square}$) and new equilibrium ($P_{\square}Y_{\square}$); both axes, all curves and coordinates labelled.	4 marks
Accurately drawn diagram with the correct shift but one label/coordinate missing.	3 marks
Accurately drawn diagram with the correct shift but two or more labels/coordinates missing.	2 marks

Accurately drawn AD/AS diagram showing initial equilibrium with both axes, both original curves and both original coordinates (P■Y■) labelled, but no shift.
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1 mark

Notes: Horizontal axis labels accepted: 'Real GDP', 'Real output', 'Output', 'Y', 'RNO', 'NI', 'National output'. Do not reward 'Quantity' or 'Q'. Vertical axis labels accepted: 'Price Level', 'PL', 'Inflation', '£'. Do not reward 'Price' or 'P'.

Question 3 1 Extract E (lines 10-12) refers to skills mismatches in the UK labour market.

Explain how skills mismatches may cause unemployment in the UK economy.

[10 marks]

Apply the 10-mark levels grid above.

Relevant issues include:

- Definition of unemployment / structural unemployment
- Definition of skills mismatches - the skills workers possess differ from those demanded by employers
- Occupational immobility of labour - workers cannot easily move between jobs requiring different skills
- Technological change leading to obsolescence of certain skills
- Industrial decline affecting particular sectors (e.g. manufacturing, coal mining)
- Geographical immobility compounding the problem - workers in declining regions cannot easily move to growing regions
- Long-term consequences - hysteresis, skills atrophy during long unemployment spells
- Impact on AS curve - higher natural rate of unemployment, lower productive capacity
- Real-world UK examples could be referenced

Question 3 2 Extract F (lines 1-3) refers to government measures to raise productivity, including infrastructure investment.

Use the extracts and your knowledge of economics to assess the view that supply-side policies are the most effective way of reducing regional inequalities in the UK.

[25 marks]

Apply the 25-mark levels of response grid above. The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response.

Areas for discussion include:

- Definition of supply-side policies and regional inequality
- Investment in education and training to reduce skills mismatches
- Infrastructure investment (HS2, Northern Powerhouse Rail - Extract F)
- Tax incentives and capital allowances for investment in poorer regions
- Analysis of how these raise productivity and LRAS
- Evaluation: time lags - supply-side effects take years to materialise
- Evaluation: cost - significant fiscal commitment required, opportunity costs
- Evaluation: effectiveness depends on quality of policy design and implementation
- Alternative policies: demand-side policies (regional investment by government), monetary policy
- Role of private sector - whether market forces alone can address regional gaps

- Free movement of labour - geographical mobility issues
- International comparisons (Extract F mentions Germany)
- Use of extracts data on regional productivity gaps (range of 48.9 points)
- Overall judgement on whether supply-side policies are sufficient or whether a mix is needed

END OF MARK SCHEME